

# BRITAM HOLDINGS PLC

## UNAUDITED SUMMARY CONSOLIDATED RESULTS FOR THE SIX MONTH PERIOD ENDED 30 JUNE 2021

The Board of Directors is pleased to announce the Group's unaudited results for the six month period ended 30 June 2021

### SUMMARY CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

|                                                                                                    | Un-Audited<br>30-Jun-21<br>Shs'000 | Un-Audited<br>30-Jun-20<br>Shs'000 |
|----------------------------------------------------------------------------------------------------|------------------------------------|------------------------------------|
| Gross earned premium and fund management fees                                                      | 14,858,244                         | 14,055,644                         |
| Less: reinsurance premium ceded                                                                    | (2,891,533)                        | (2,373,654)                        |
| <b>Net earned revenue</b>                                                                          | <b>11,966,711</b>                  | <b>11,681,990</b>                  |
| Investment income                                                                                  | 4,926,603                          | 3,636,795                          |
| Gains/(losses) on financial assets at fair value through profit or loss                            | 1,366,200                          | (3,219,690)                        |
| Commissions earned                                                                                 | 775,867                            | 635,592                            |
| Other income                                                                                       | 665,806                            | 208,604                            |
| <b>Total income</b>                                                                                | <b>19,701,187</b>                  | <b>12,943,291</b>                  |
| <b>Expenses</b>                                                                                    |                                    |                                    |
| <b>Net insurance claims, increase in policyholder's benefits and loss adjustment expenses</b>      | <b>9,387,887</b>                   | <b>8,109,927</b>                   |
| Interest payments/increase in unit value                                                           | 2,357,487                          | 1,131,574                          |
| Operating and other expenses                                                                       | 4,902,854                          | 3,897,380                          |
| Finance costs                                                                                      | 197,360                            | 138,583                            |
| Commissions expense                                                                                | 2,041,288                          | 1,831,093                          |
| <b>Total expenses</b>                                                                              | <b>18,886,876</b>                  | <b>15,108,557</b>                  |
| <b>Profit/(loss) before share of loss of associate</b>                                             | <b>814,311</b>                     | <b>(2,165,266)</b>                 |
| Share of loss of associate                                                                         | (166,889)                          | (142,496)                          |
| <b>Profit/(loss) before tax</b>                                                                    | <b>647,422</b>                     | <b>(2,307,762)</b>                 |
| Income tax (expense)/credit                                                                        | (271,121)                          | 673,257                            |
| <b>Profit/(loss) for the period</b>                                                                | <b>376,301</b>                     | <b>(1,634,505)</b>                 |
| Gains/(losses) on revaluation of financial assets at fair value through other comprehensive income | 994,732                            | (2,324,034)                        |
| Currency translation movements                                                                     | (138,478)                          | (277,917)                          |
| <b>Total other comprehensive income/(loss)</b>                                                     | <b>856,254</b>                     | <b>(2,601,951)</b>                 |
| <b>Comprehensive income/(loss) for the period</b>                                                  | <b>1,232,555</b>                   | <b>(4,236,456)</b>                 |
| <b>Basic and diluted earnings/(losses) per share (Shs per share)</b>                               | <b>0.14</b>                        | <b>(0.65)</b>                      |

### CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

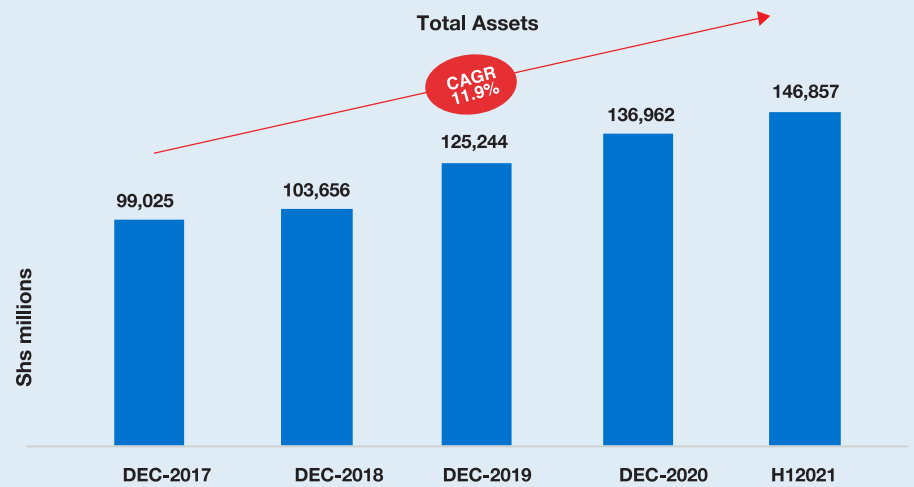
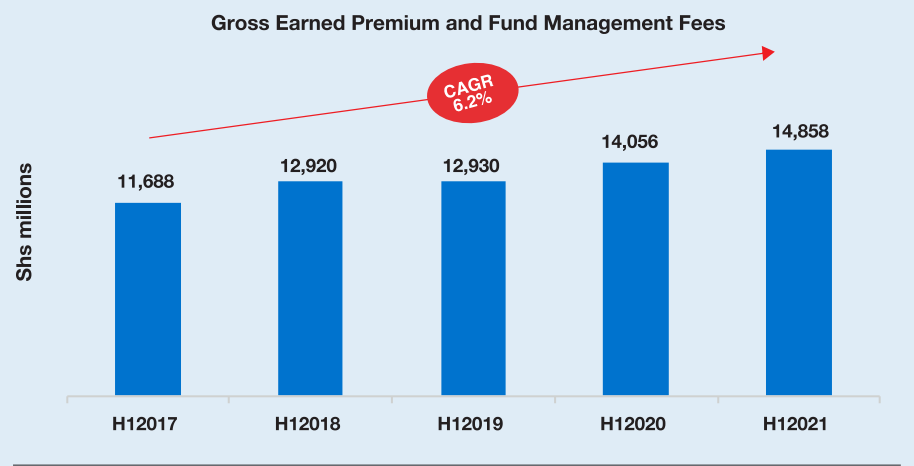
|                             | Un-Audited<br>30-Jun-21<br>Shs'000 | Audited<br>31-Dec-20<br>Shs'000 |
|-----------------------------|------------------------------------|---------------------------------|
| Share capital               | 252,344                            | 252,344                         |
| Share premium               | 13,237,451                         | 13,237,451                      |
| Other reserves              | 14,761,333                         | 13,352,432                      |
| Retained losses             | (10,079,384)                       | (9,891,877)                     |
| <b>Shareholder's funds</b>  | <b>18,171,744</b>                  | <b>16,950,350</b>               |
| Non-controlling interest    | 127,643                            | 116,482                         |
| <b>Total equity</b>         | <b>18,299,387</b>                  | <b>17,066,832</b>               |
| <b>Assets</b>               |                                    |                                 |
| Fixed and intangible assets | 2,906,923                          | 2,776,377                       |
| Investment assets           | 124,757,800                        | 117,332,824                     |
| Insurance assets            | 12,303,900                         | 10,220,989                      |
| Cash and bank balances      | 1,799,237                          | 1,558,646                       |
| Other assets                | 5,089,636                          | 5,073,635                       |
| <b>Total assets</b>         | <b>146,857,496</b>                 | <b>136,962,471</b>              |
| <b>Liabilities</b>          |                                    |                                 |
| Insurance liabilities       | 110,821,656                        | 103,008,343                     |
| Borrowings                  | 4,880,178                          | 4,854,923                       |
| Deferred income tax         | 2,745,768                          | 2,337,628                       |
| Provisions & other payables | 10,110,507                         | 9,694,745                       |
| <b>Total liabilities</b>    | <b>128,558,109</b>                 | <b>119,895,639</b>              |
| <b>Net assets</b>           | <b>18,299,387</b>                  | <b>17,066,832</b>               |

### CONDENSED CONSOLIDATED STATEMENT OF CASHFLOWS

|                                                     | Un-Audited<br>30-Jun-21<br>Shs'000 | Un-Audited<br>30-Jun-20<br>Shs'000 |
|-----------------------------------------------------|------------------------------------|------------------------------------|
| <b>Operating activities</b>                         |                                    |                                    |
| <b>Cash generated from operations</b>               | <b>1,663,343</b>                   | <b>3,949,520</b>                   |
| Income tax paid                                     | (68,132)                           | (219,344)                          |
| <b>Net cash generated from operating activities</b> | <b>1,595,211</b>                   | <b>3,730,176</b>                   |
| Net cash used in investing activities               | (282,108)                          | (2,464,056)                        |
| Net cash (used)/generated in financing activities   | (241,450)                          | 1,138,687                          |
| <b>Net increase in cash and cash equivalents</b>    | <b>1,071,653</b>                   | <b>2,404,807</b>                   |
| <b>Movement in cash and cash equivalents</b>        |                                    |                                    |
| At the start of the year                            | 7,498,000                          | 7,575,311                          |
| Increase                                            | 1,071,653                          | 2,404,807                          |
| <b>At end of the period</b>                         | <b>8,569,653</b>                   | <b>9,980,118</b>                   |

### CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

|                                           | Share capital  | Share premium     | Retained earnings and other reserves | Total equity      |
|-------------------------------------------|----------------|-------------------|--------------------------------------|-------------------|
|                                           | Shs'000        | Shs'000           | Shs'000                              | Shs'000           |
| <b>At 1 January 2021</b>                  | <b>252,344</b> | <b>13,237,451</b> | <b>3,577,037</b>                     | <b>17,066,832</b> |
| Profit for the period                     | -              | -                 | 376,301                              | 376,301           |
| Other comprehensive income for the period | -              | -                 | 856,254                              | 856,254           |
| <b>At 30 June 2021</b>                    | <b>252,344</b> | <b>13,237,451</b> | <b>4,809,592</b>                     | <b>18,299,387</b> |



### Commentary on the Group 2021 Half Year Results

The Group has recorded a profit before tax of Shs 647 million in the six-month period to 30 June 2021. This is a significant improvement in financial performance compared to a loss before tax of Shs 2.3 billion reported in the same period in the financial year 2020.

Some of the key performance highlights in the six-month period are:

The Group has recorded,

- Strong growth in investment income from its investments which was up 35 percent to Shs 4.9 billion.
- Improved performance of investments in listed equities driven by their better performance at the Nairobi Securities Exchange in the period.
- Growth in revenue from both local businesses and regional businesses. The regional general insurance business continues to record growth in gross earned premiums and to contribute profitably to the Group. International general insurance businesses contributed 24 percent to the Group's gross earned premiums.
- An increase in claims and policy holders' benefits expenses in the period as customers continue to experience financial constraints occasioned by Covid-19.
- Growth in operating expenses attributed mainly to a one-off item related to the ongoing transformation of the business as the Group implements its new transformational strategy. However, there was a 2 percent drop in underlying operating expenses.

The business remains fundamentally strong with both the Group's assets and shareholders' funds growing in the period.

As the local and regional economies recover from the effects of the Covid-19 pandemic, the Group is optimistic of an improved performance across our local and regional businesses in the second half of 2021.

### Other Matters

The Board of Directors does not recommend the payment of an interim dividend.

The above summary consolidated statement of profit or loss and other comprehensive income, statement of financial position, statement of cash flows and other disclosures are extracted from the unaudited financial results of the Group which were approved by the Board of Directors on 30 August 2021.

**By Order of the Board:**  
**Mr. Mohamed Karama**  
Ag. Chairman

**Mr. Tavaziva Madzinga**  
Group Managing Director